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INVESTMENT INSTITUTE

Market Commentary

WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

Back to Reality

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Last Week's S&P 500 Index:
+0.4%

Key Takeaways

» *The S&P 500 keeps grinding higher as investors anticipate tax cuts and economic data helps confirm our belief that the modest growth economy is quite dependable.*

» *The decision has been made to include tax reform assumptions in our 2018 year-end targets. Those targets were updated and now reflect those assumptions.*

First of all, many thanks to Peter Donisanu for standing in for this strategist and writing the Market Commentary piece last week as my wife and I celebrated our 30th anniversary. We had a great "off the office grid" trip, part of which was to the Big Apple to see "Hamilton." My advice to you is to bite the bullet and buy the tickets; you won't be disappointed. My inventory of brownie points grew exponentially as a result.

But now, this week, it is back to reality and paying attention to the markets. Living off the office grid is over. However, the bottom line is not much has changed over the 10 days I was out. Granted, there were a few volatile days of trading, but the net direction has been the same. The S&P 500 keeps grinding higher on expectations that corporate (especially) and middle class tax cuts will be implemented. We thought there was a good probability that legislation would be signed into law in the first quarter of next year, but if the current pace continues, the president may have something on his desk before the holiday season, and 2017, come to an end. The market has also been helped by economic reports that continue to suggest our modest-growth economy is quite dependable and moving in the right direction.

As our 2018 outlook was coming together, Wells Fargo Investment Institute decided to make a few assumptions in terms of what tax legislation the president might actually sign into law. The first step was to predict that yes, Congress would pass something that would become law. From there, the more important assumptions revolved around the corporate tax rate (of course) as well as the ability of corporations to deduct interest expenses and write off capital expenditures.

Without digging too much into the numbers in this week's short commentary (see our 2018 Outlook report for more detail), the effects on the large-capitalization S&P 500's earnings, based on our analysis, are modest. This is largely because, on average, companies in this index pay a far lower tax rate than the "headline" 35% corporate rate. After all the deductions and other adjustments, the overall effective rate is in the 22% to 24% range. On the other hand, as a group, small-capitalization stocks, such as those included in the Russell 2000 Index, pay an effective tax rate of approximately 33% based on our analysis. These smaller companies, as a whole, simply do not have the same magnitude of deductions that are commonplace among their much larger cousins in the S&P 500. In other words, under our assumption of a 23% corporate tax rate beginning on January 1, 2018, the Russell 2000 Index would see a meaningfully bigger boost in earnings than our large-cap equity gauge.

As a result of our assumptions and analysis, our earnings and year-end 2018 targets have all been adjusted upward for the major U.S. equity indices. Our previous estimates and targets, released in mid-September, did not include any predicted effects from potential tax legislation.

We continue to believe the current economic cycle is not coming to an end in the nearer term. We believe there is more upside left in the equity market through next year. For now, stay invested.

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Definitions

An index is unmanaged and not available for direct investment.

S&P 500 Index is a market capitalization-weighted index composed of 500 widely held common stocks that is generally considered representative of the US stock market.

Russell 2000® Index measures the performance of the 2,000 smallest companies in the Russell 3000® Index, which represents approximately 8% of the total market capitalization of the Russell 3000 Index. The Russell 3000® Index measures the performance of the 3,000 largest U.S. companies based on total market capitalization, which represents approximately 98% of the investable U.S. equity market.

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